

BUYING TIME

Nevertheless, the neoliberal revolution did not succeed without political assistance. By the end of the late 1960s, the capitalist peace formula had become unrealistic. High economic growth jointly produced by labour and capital, which could have been used for secure employment, rising wages and continuing progress towards better working conditions and extended social protection, was drying up. By the early 1970s at the latest, productive capital investment threatened to fall short of what was needed to ensure full employment in a context of growing wage militancy and expanding government social policy. These were generally seen as the cornerstone of the postwar social contract. A legitimization crisis, of parliamentary democracy if not of the capitalist economy, therefore seemed to lie ahead. In the following years, however, that problem was successfully addressed, if in a way not expected by Frankfurt crisis theory: that is, by a monetary policy that accommodated wage rises in excess of productivity growth, resulting in high global rates of inflation, especially in the second half of the 1970s.⁵⁹

59 Attempts to get by with without inflation by means of 'incomes policy' had mixed fortunes. The greatest successes were in countries where unions and employers were integrated into government stability policy, with a corporatist approach offering employers negotiated wage restraint and trade unions compensation, non-monetary for the time being, in the form of rights to organize or of improved pension entitlements. Incomes policy featured prominently in the comparative political science and the institutional economics of the 1970s; see, by way of an introduction, R. Flanagan and L. Ulman, *Wage Restraint: A Study of Incomes Policy in Western Europe*, Berkeley: University of California Press, 1971. As the extensive literature of the time was able to show, inflation rates reflected the institutional structure of the national economy, varying not only with the mode of wage formation but also with the status of the central bank. The lowest inflation was in West Germany, whose wage-bargaining system was in effect highly centralized and whose independent central bank anticipated as early as the mid-1970s the monetarist economic policy later adopted by the USA and the UK (F. Scharpf, *Crisis and Choice in European Social Democracy*, Ithaca, NY: Cornell University Press, 1991). Despite, or because of, these conditions, the SPD leader Helmut Schmidt could fight the 1976 election campaign with the slogan 'Rather 5 per cent inflation than 5 per cent unemployment'. The other side of the stable currency, however, was that public debt began to climb earlier in Germany than elsewhere; we shall return to this point below. The Bundesbank – which, by denying the government control over the money supply, indirectly forced it into fiscal measures to

balance, cut
tax breaks

Following the strike wave around 1968, the inflationary monetary policy of the 1970s safeguarded social peace in a rapidly developing consumer society by compensating for inadequate economic growth and ensuring the continuation of full employment.⁶⁰ In this respect, it amounted to a temporary repair of the failing neocapitalist peace formula. The trick was to defuse the emergent distribution conflict between labour and capital by introducing additional resources, even if these existed only as money and not, or not yet, in reality. Inflation made the cake only seem larger, but this did not necessarily make a difference in the short term. It produced in both employees and employers a 'money illusion', as Keynes had called it, of greater affluence, as a boost for the new consumerism. But that illusion faded over time and finally disappeared when the declining value of money induced its owners either to stop investing or to seek safety in other currencies.⁶¹

Governments that sought social peace by means of inflation, introducing not yet existing resources into the capitalist distributional conflict, were able to draw on the magic of modern 'fiat money', the amount of which, politics commanding public power, may increase

preserve employment as well as the legitimacy of its policies and of the market economy – became a model for other European countries, including France under Mitterrand, and later for the European Central Bank too. The national institutional differences, which became especially striking in the 1970s, were the starting point for the literature on corporatism and then on 'varieties of capitalism' (W. Streeck, 'The Study of Interest Groups: Before "The Century" and After', in Colin Crouch et al. [eds], *The Diversity of Democracy: Corporatism, Social Order and Political Conflict*, London: Edward Elgar, 2006, pp. 3–45).

60 On the following, see W. Streeck, 'A Crisis of Democratic Capitalism', *New Left Review*, vol. 71, 2011, pp. 1–25.

61 In the 1970s there was agreement that inflation mainly harms the owners of monetary assets, whereas it improves the distributional position of the working class – at least so long as investment is not impaired. But in reality the latter happens at the latest when the resulting uncertainty about prices and price relations becomes too great for investors (F. Hayek, 'Full Employment, Planning and Inflation', *Studies in Philosophy, Politics, and Economics*, Chicago: University of Chicago Press, 1967 [1950], pp. 270–9). Then the solution to a legitimation problem becomes the cause of a reproduction problem – or successful social integration generates a crisis of system integration (in the sense of D. Lockwood, 'Social Integration and System Integration', in George K. Zollschan et al. [eds], *Explorations in Social Change*, London: Houghton Mifflin, 1964, pp. 244–57) that may give rise to a new crisis of social integration and thus raise again the old legitimization problems.

social int. solution → system int. crisis

ad libitum. With the onset of stagflation – of stagnation despite accelerating inflation – in the second half of the 1970s, however, the replacement of real with nominal growth lost its charm; central banks, under the leadership of the Federal Reserve, resorted to drastic stabilization measures, including in the American case interest rates above 20 per cent that soon brought an end to inflation that has lasted to the present day (Fig. 1.4). As deflation in capitalist economies worldwide brought a sharp recession and continuing unemployment (Fig. 1.5), the legitimization problem of what had been the capitalism of the post-war period came bouncing back, and with it the temptation to relieve it once more by conjuring up money from nowhere. So began, or continued, a development which has reached a provisional climax in today's global financial and fiscal crisis.

The monetary stabilization of the world economy in the early 1980s was a *tour de force* that came with a high political risk; it could be undertaken only by governments, such as those of Reagan and Thatcher, that were willing to trade mass unemployment for the restoration of 'sound money' and to crush the expected social resistance at whatever cost.⁶² In fact, the deflation of capitalist national economies, backed up with lasting unemployment and neoliberal labour-market reforms, brought about a worldwide decline in union organization (Fig. 1.6) that made the strike weapon virtually unusable in distributional conflicts; the incidence of strikes fell towards zero nearly everywhere and has remained there ever since (Fig. 1.7).⁶³ At the same time, the gap separating the promises of capitalism and the expectations of its clientele from what ever more powerful markets were willing to deliver not only persisted but tended to grow wider; once again, under changed conditions and with new instruments, it had to be politically bridged, however provisionally. This was the beginning of the public debt era.

FIGURE 1.4. Rates of inflation (%), seven countries

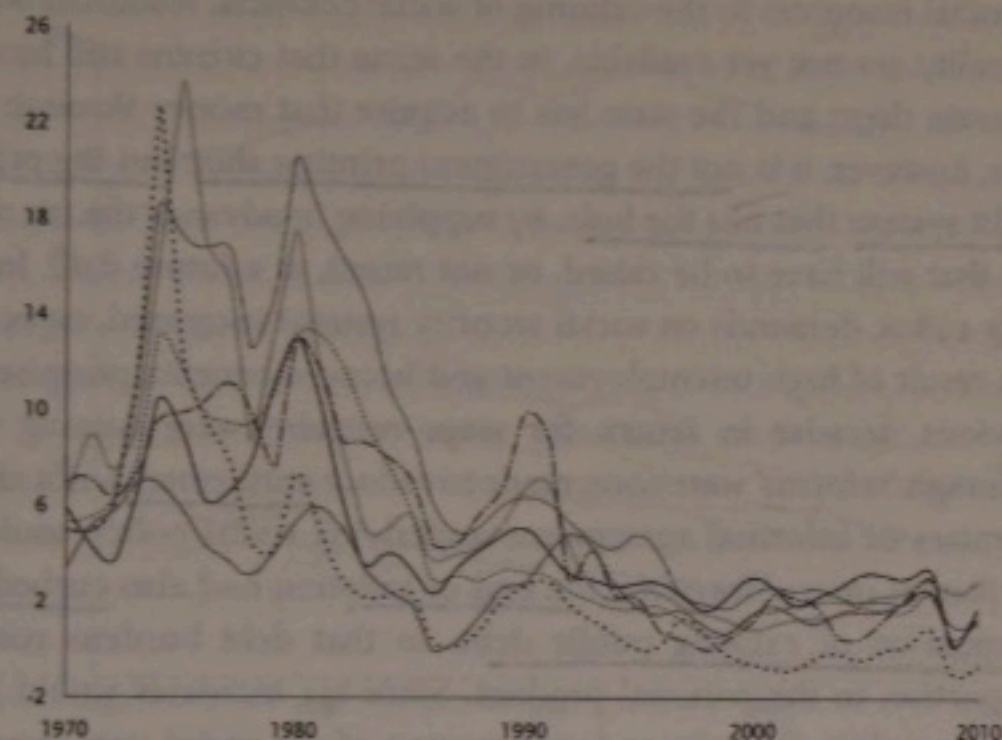
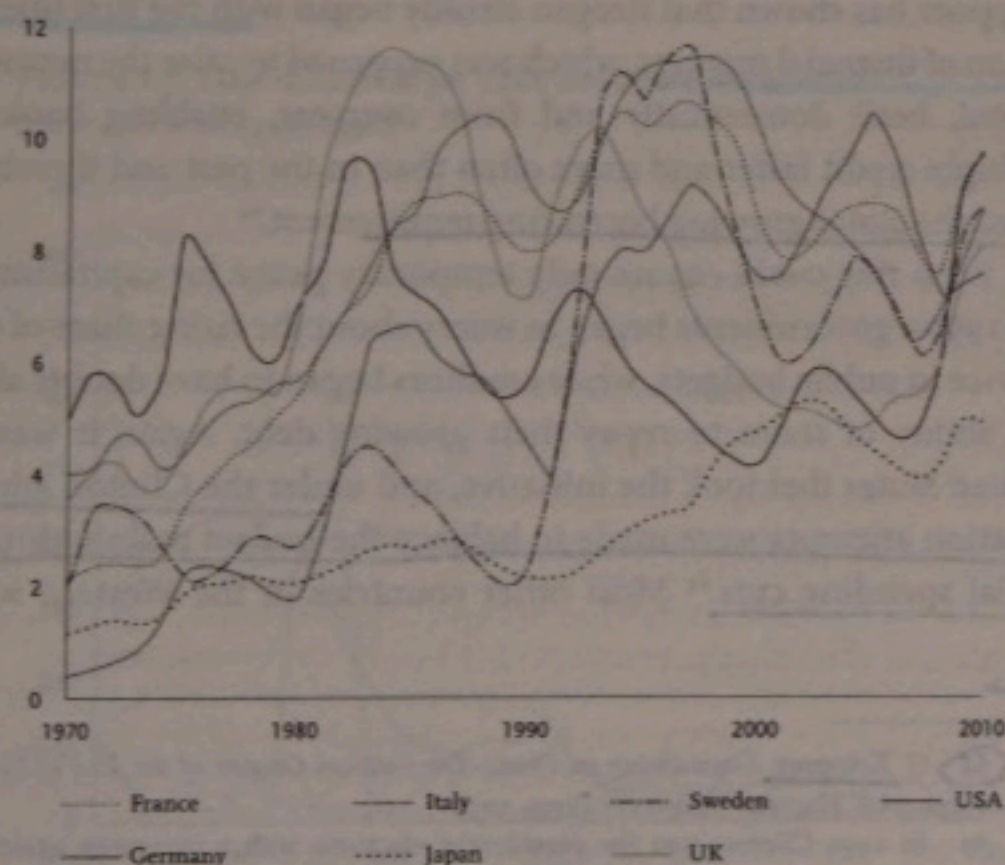


FIGURE 1.5. Unemployment (%), seven countries



Sources: OECD Economic Outlook: Statistics and Projections

62 Two dramatic and symbolically important turning-points were Reagan's breaking of the air traffic controllers' union in 1981 and Thatcher's defeat of the miners in 1984.

63 Fig. 1.7 leaves out Italy's very high strike rates of the 1970s, which would have made the trend in other countries invisible on the scale. In Italy too, strike activity fell dramatically after 1980.

Like inflation, public debt enables a government to commit financial resources to the calming of social conflicts, resources which in reality are not yet available, in the sense that citizens still have to generate them and the state has to acquire that money through tax. Now, however, it is not the government printing shop but the private credit system that fills the hole, by supplying in advance the tax revenue that will have to be raised, or not raised, at a future date. In the early 1980s, demands on social security systems increased, especially as a result of high unemployment and because benefits promised in previous decades in return for wage restraint were coming due. Although 'reforms' were soon made to reduce entitlements, not all the promises or informal agreements underlying social policy could be revoked at once. Moreover, the end of inflation had also curbed the devaluation of existing public debt, so that debt burdens rose in proportion to the national product. Since tax increases would have been as politically risky as faster erosion of the social state, governments turned to debt as a way out. In the case of the United States, Krippner has shown that Reagan already began with the first liberalization of financial markets, which was supposed to raise the necessary capital, both domestically and from overseas, enabling banks to multiply credit faster and more often than in the past and thereby to cover the state's growing borrowing requirement.⁶⁴

Even this could ensure only temporary peace for capitalism. In the 1990s, governments began to worry about the rising share of debt service in public budgets, while creditors began to have doubts about the ability of states to repay their growing debt. Again it was the United States that took the initiative, and under the Clinton administration attempts were made to balance the budget mainly through social spending cuts.⁶⁵ Most other countries in the Western world

FIGURE 1.6. Level of unionization (%), seven countries

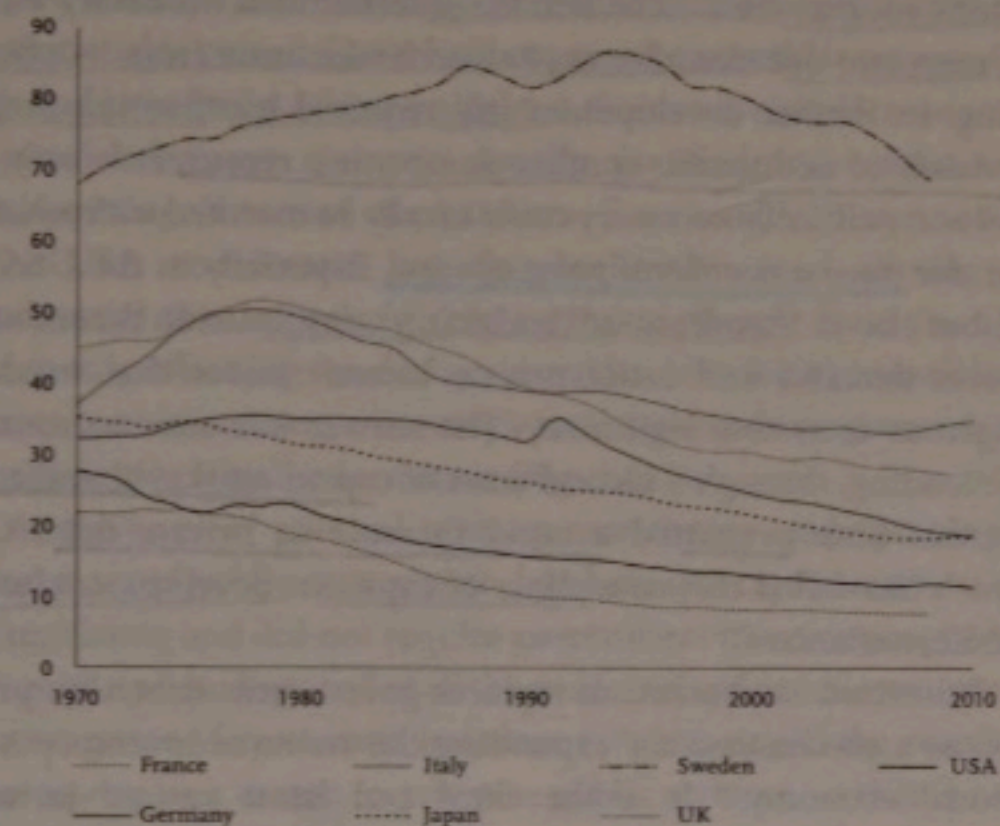
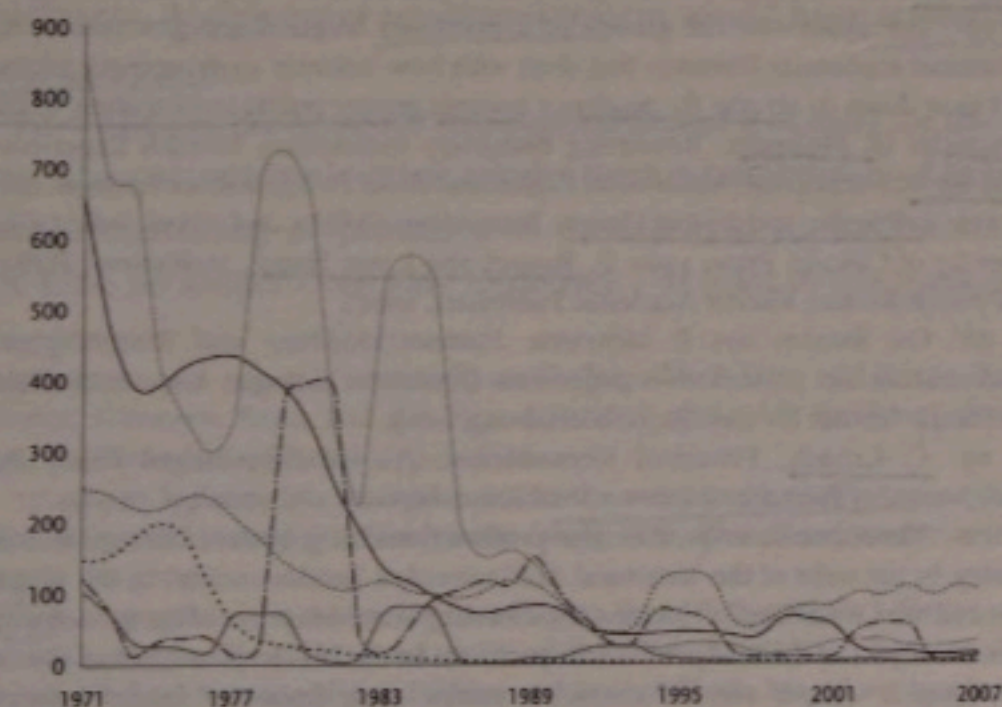


FIGURE 1.7. Days not worked per 1,000 employees, six countries (three-year moving averages)



Sources: ILO Labour Statistics, US Bureau of Labor Statistics; Amsterdam Institute for Advanced Labour Studies, ICTWSS Database, 3 May 2011

⁶⁴ G. Krippner, *Capitalizing on Crisis: The Political Origins of the Rise of Finance*, Cambridge, MA: Harvard University Press, 2011.

⁶⁵ In 1991 Clinton won the presidential elections with a campaign against the 'double deficit' (in the trade balance and the federal budget) that Reagan and Bush had left behind.

followed suit,⁶⁶ having been brought into line by international organizations such as the OECD and the International Monetary Fund.⁶⁷ But even two decades after capitalism broke loose from its postwar casing, its further development still required legitimation through provision of additional, conflict-dampening resources – only now what was politically necessary could ideally be matched with what was desirable from a neoliberal point of view. Especially in the USA and UK, but also in Scandinavia,⁶⁸ budgetary consolidation threatened to depress demand and cause private income losses that would be dangerous to system legitimacy. The answer was another round of frontloading, through a second wave of capital market liberalization that this time permitted a rapid increase in private debt. Colin Crouch has called this new phase of capitalist development ‘privatized Keynesianism’.⁶⁹

Privatized Keynesianism replaces government debt with private debt, as a mechanism for expanding the resource inventory in the national economy.⁷⁰ It is the third and latest variant in which

66 Fig. 1.1 shows that what I call the first phase of budgetary consolidation was by no means unsuccessful. Germany was an exception at the time: it had to finance reunification, and Kohl had promised that this would be done without tax increases.

67 The 1990s saw the growth of a politically inspired and government-funded institutional economics literature that dealt with how ‘reforms’ to democratic institutions might slow down or reverse the tendency towards greater public indebtedness in the rich democracies (P. Molander, ‘Reforming Budgetary Institutions: Swedish Experiences’, in Rolf R. Strauch et al. [eds], *Institutions, Politics and Fiscal Policy*, Boston: Springer, 2000, pp. 191–212; J. Poterba and J. von Hagen, *Institutions, Politics and Fiscal Policy*, Chicago: University of Chicago Press, 1999; R. Strauch and J. von Hagen, *Institutions, Politics and Fiscal Policy*, Boston: Kluwer Academic Publishers, 2000).

68 On Sweden see P. Mehrrens, *Staatsentschuldung und Staatstätigkeit: Zur Transformation der schwedischen politischen Ökonomie*, Cologne: Universität Köln und Max-Planck-Institut für Gesellschaftsforschung, 2013.

69 C. Crouch, ‘Privatised Keynesianism: An Unacknowledged Policy Regime’, *British Journal of Politics and International Relations*, vol. 11/3, 2009, pp. 382–99.

70 The countries in question also profited from the growth of a deregulated finance industry, in the wake of the ‘structural shift’ towards a ‘service society’. In the 1990s, Wall Street and the City of London became the most important branches of the economy and the largest taxpayers in the USA and UK respectively. In the United States, before the crisis of 2008, roughly 45 per cent of corporate profits came from the financial sector; the corresponding figure at the beginning of the 1980s had been just under 20 per cent (Krippner, *Capitalizing on Crisis*, p. 33). On the scale of the redistribution in favour of the

1980 – 2008
~7. 45%.

purchasing power is anticipated to meet the unfulfilled promises of late postwar capitalism; in it the state limits itself to regulatory policies that enable private households to supplement their income from work and benefits by taking on debt at their own risk. Here too there are parallels between countries usually classified under different, or even opposing, ‘varieties’ of capitalism. For example, it was not only in the USA and Britain but also in Sweden (and elsewhere in Scandinavia) that household debt increased sharply from the 1990s on, not only offsetting the decline in public debt due to consolidation policies but also raising a country’s total indebtedness even where it had previously remained constant (Fig. 1.8).⁷¹

At the level of political ideas, a new theory underpinning the replacement of public with private debt held that capital markets were self-regulating and did not require government intervention, because their participants disposed of all the necessary information to prevent the emergence of systematic imbalances.⁷² This raised the possibility of borrowing as a means to privatize public services, so that the state would finally be able to shake off its postwar responsibility for growth and social security, which had always seemed suspect in the eyes of capital, and transfer it back to the market and its axiomatically rational participants. At this point neoliberal reform would have arrived at its logical conclusion.

As we know, the hope for this proved illusory, at least for the time being. The current triple crisis results from a breakdown of the debt pyramid consisting of promises of growth that capitalism has for some time no longer been able to deliver – at least to the mass of the

finance industry and resource extraction, see D. Tomaskovic-Devy and K. Lin, ‘Income Dynamics, Economic Rents and the Financialization of the US Economy’, *American Sociological Review*, vol. 76/4, 2011, pp. 538–59.

71 Fig. 1.8 shows four countries where the compensation effect was especially marked. It is worth noting that Sweden too (along with other Scandinavian countries) belongs in this group.

72 Among the main names here are Eugene Fama (father of the ‘efficient market hypothesis’), Merton H. Miller (co-founder of the Modigliani-Miller theorem), Harry Markowitz, Robert Merton, Myron Scholes and Fischer Black. Most have taught at the University of Chicago and appear on the list of winners of the so-called Nobel Prize in economics, awarded by the Swedish central bank (Riksbank).

population on whose cooperation or sufferance it depends more than it would like. With this, neoliberal reform, too, has reached a point of crisis. After years of privatization and deregulation, the possible collapse of the international banking system in 2008 compelled public authorities to re-enter the economic fray, wrecking all the gains in budgetary consolidation they had achieved at high political risk.

[Since 2008, governments have had little or no idea how to clear away the debris of the financial crisis and recreate some kind of order – a task that certainly cannot be privatized. In the measures taken by governments and central banks to save the private banking system, the distinction between public and private money has become increasingly irrelevant, and finally, with the takeover of bad loans, it became clear how seamlessly the one passed into the other. Today it is virtually impossible to tell where the state ends and the market begins, and whether governments have been nationalizing banks, or banks have been privatizing the state.⁷³

To sum up, time was bought in three ways and in three successive stages. The development of the leading country of modern capitalism, the United States, is paradigmatic (Fig. 1.9). In the USA, inflation shot up in the early 1970s and, after sharp fluctuations, stood close to 14 per cent by the end of the decade. This marked the first turning-point, as inflation was suppressed and gave way to a rapid rise in public debt until 1993. Clinton's policy of budgetary consolidation then brought a fall in the government debt ratio of more than 10 percentage points in the space of a few years, but this was offset by a sharp increase in private debt. Shortly before the collapse of the finance industry private households began to experience a debt reduction, mainly as a result of insolvency and accompanied with a new increase in government debt and a fall in the rate of inflation towards zero.

73 This became clear in summer 2012, during the discussions on an EU 'rescue package' for Spanish banks. Of course, the dual nature of money as private property and public institution goes back a long way (G. Ingham, *The Nature of Money*, Cambridge: Polity, 2004); it underlies the mysterious nature of capitalism (D. Graeber, *Debt: The First 5,000 Years*, Brooklyn, NY: Melville House, 2011), which is ultimately unfathomable even to those dependent on profit.

Y

public institution private property

contribution being the young Joseph Schumpeter's lecture of 1918 to the Austrian Gesellschaft der Soziologie.⁴⁶ His conclusion was that the historical institution of the tax state had not yet reached its limits, and that the war debts of Germany and Austria in particular could be settled without general socialization. Looking further ahead, however, he did not rule out the possibility – indeed, he expected it – that the tax state and the capitalist mode of production as a whole would one day cease to be viable.⁴⁷ This idea would subsequently be banished to the catacombs in the history of economic thought, especially after 1945, when a welfare-state capitalism domesticated along Keynesian lines appeared to usher in a new era. Here and there, however, it continued to make itself heard in more or less new formulations – not least in the fiscal crisis theory of the Marxist James O'Connor and, following on from it, Daniel Bell's pessimistic reflections on the future of capitalism in the 1970s.⁴⁸

FROM TAX STATE TO DEBT STATE

If the fiscal crisis of the state predicted by O'Connor and Bell is situated on the revenue rather than the expenditure side – so that it is defined à la Goldscheid and Schumpeter as a crisis of the tax state – then we are struck by two trends of recent decades that no one foresaw in their actual significance. The first is the transformation of the tax state into a debt state – that is, a state which covers a large, possibly rising, part of its expenditure through borrowing rather than taxation, thereby accumulating a debt mountain that it has to finance with an ever greater share

46 J. Schumpeter, 'The Crisis of the Tax State' [1918]. In Richard Swedberg, ed., *The Economics and Sociology of Capitalism*, Princeton, NJ: Princeton University Press, 1991, pp. 99–141.

47 'By and by private enterprise will lose its social meaning through the development of the economy and the consequent expansion of the sphere of social sympathy. The signs of this are already with us and it was inherent in the tendencies of the second half of the nineteenth century, whose perhaps final aberration was all that which culminated in the world war. Society is growing beyond private enterprise and tax state, not because but in spite of the war. That too is certain' (Schumpeter, 'The Crisis of the Tax State', p. 131).

48 D. Bell, 'The Public Household: On "Fiscal Sociology" and the Liberal Society,' in *The Cultural Contradictions of Capitalism*, New York: Basic Books, 1976, pp. 220–82.

of its revenue. The minor role that this answer to the funding problem of modern states played in earlier discussions – it is only a marginal aspect in O'Connor, for instance⁴⁹ – is probably due in part to the fact that routine funding of public debt first required the construction of an efficient finance sector and the 'financialization' of capitalism through the deregulation of finance markets. Moreover, finance markets had to be integrated internationally in order to satisfy the huge credit needs of rich industrial countries, especially the United States. This process, as we said before, was under way globally by the 1980s at the latest.

The development of the debt state may be understood both as a retarding factor in the crisis of the tax state and as the rise of a new political formation with its own laws. In what follows, I shall mainly employ the second of these perspectives. But it should be noted in advance that the formation of the debt state was impeded by a countervailing force which, in the neoliberal reform movement of the 1990s and 2000s, sought to consolidate government finances by privatizing services that had accrued to the state in the course of the twentieth century. This was the other historical development that the crisis theories of the 1970s had not yet been able to foresee: the total or partial return of an increasing number of state functions – from retirement provision through health care and education to responsibility for the level of employment – to society and the market economy. As we have seen, the easiest way of achieving this was by simultaneously improving the access of private households to credit. In part, the privatization of a broad swath of public services was facilitated and justified by the higher level of prosperity and consumption. But the elimination of postwar social rights through marketization ran parallel to the development of a new form of democracy (what Crouch

49 'The growth of state debt normally does not exacerbate the fiscal crisis, but neither does state borrowing alleviate the crisis. State and local government debt has been partly "self-liquidating" . . . Federal government debt also has partly "paid for itself" during periods when actual output is less than potential output by expanding credit and increasing the level of aggregate demand, production, employment, income, and the tax base' (O'Connor, *The Fiscal Crisis of the State*, pp. 179f.). This was written in 1973, when Keynesianism was still alive and US government debt still low (42.6 per cent of GDP, compared with 89.6 per cent in 2010).

X calls 'post-democracy')⁵⁰ in which political participation was redefined as popular entertainment and disconnected from policy, especially in the sphere of the economy.⁵¹ In this perspective, the present efforts at national and international levels to secure lasting fiscal consolidation by cutting expenditure are nothing other than the continuation of the neoliberal reforms of the 1990s and 2000s with a new, more sophisticated toolkit.

Before turning to the political anatomy of the contemporary debt state, I should like to summarize the argument so far. What I propose is to reverse, not discard, the 'common pool' account of public debt and the explanation of government indebtedness in terms of a failure of democracy. As far as the 'common pool' theory is concerned, I argue that the fiscal crisis of the state is not due to an excess of democracy having enabled the mass of the population to extract too much from the public purse; rather, those who have profited most from the capitalist economy have been paying too little, and increasingly little, into the public purse. If an 'explosion of demands' has caused a structural deficit of public finances, then it has occurred among the upper classes; it is their income and their assets that have multiplied rapidly over the past twenty years, not least thanks to tax cuts, while wages and social services at the bottom end of society have stagnated or fallen – a development masked, and for a time legitimated, by money illusions supported by inflation, public debt and 'credit capitalism'.

This makes clearer the real *failure of democracy* in the neoliberal decades. Democracy and democratic politics failed to recognize and oppose the counter-revolution against postwar social capitalism for what it was; when they neglected to regulate the mushrooming financial sector amid the illusory boom of the 1990s; when they gave credence to the talk of 'hard' government giving way to a 'soft' governance friendly to democracy;⁵² when they refrained from making the beneficiaries of

capitalist economic growth pay the social costs of their gains;⁵³ and when they not only accepted growing inequality between those at the top and those at the bottom of society, but promoted it by tax and welfare reforms to provide greater incentives for capitalist progress. Furthermore, democratic politics contributed to the formation of the debt state when they failed to secure the stable political participation of social groups that would have an interest in preventing tax cuts for the better-off. Instead, the ongoing upward shift in the composition of the electorate made it harder and harder to impose tax increases.

I shall leave it open whether and how, in an increasingly international economy, nationally organized democratic politics could have successfully brought such tendencies under control. Evidently, the greater international mobility of industrial and finance capital has raised its 'reservation profit';⁵⁴ and so has the dependence of states upon the confidence of international investors. The liberalization policies that all governments in the capitalist world (both conservative and social democratic) adopted by the 1990s at the latest were supposed to deliver prosperity for the long-term future, through the full-scale adaptation of society to the new conditions of production demanded by increasingly mobile capital. What they overlooked was the highly limited compatibility of capitalism with democracy, and the fact that it could be achieved at all only through strict and effective political regulation and intervention. The structural and the ideological failure of democracy thus went hand in hand. The results have been there for all to see since 2008.

sozialwissenschaftliches Forschungsprogramm?', in Gunnar Folke Schuppert et al. (eds), *Governance in einer sich wandelnden Welt*, vol. 41, special issue, *Politische Vierteljahresschrift*, 2008, pp. 61–76.

53 In Germany, discussion of higher top rates of income tax, inheritance tax and various capital levies began only in summer 2012, after the French presidential elections and under pressure from the Left party; see, for example, S. Bach, 'Vermögensabgaben – ein Beitrag zur Sanierung der Staatsfinanzen in Europa', *DIW Wochenbericht*, 2012, pp. 3–11. There is still no realistic prospect of higher taxation of the rich, however.

54 I use this term by analogy with the 'reservation wage', which in labour economics denotes the wage below which workers are not prepared to enter into employment. The reservation profit is thus the lowest rate of profit that an investor will tolerate in order to put his or her money to work.

50 C. Crouch, *Post-Democracy*, Cambridge: John Wiley & Sons, 2004.

51 This disconnection is analysed below in terms of a transition from Keynesian to Hayekian political economy.

52 Convincing on 'this is C. Offe, 'Governance: "Empty Signifier" oder

DEBT STATE AND DISTRIBUTION

are the
fiscal conservatism
negotiable?

Another failure of democracy in the transition to the debt state is that public discussion has almost entirely ignored the impact of the latter on distribution. In everyday political debate, conservative middle-class parties are thought of as less inclined than social democratic ones to run up high levels of debt. Comparative statistical analyses do not always confirm this⁵⁵ – though, to be sure, their cognitive value is, for a number of reasons, rather slender.

Rhetorically, it may indeed be the case that criticism of debt has played a greater role on the political Right than on the Left. But one reason for this may be that the social groups represented by conservative parties are concerned not so much with freedom from debt as with the ability of governments to service and repay the loans they have raised from their affluent citizens – a worry powerfully voiced by 'the markets' in the current debt crisis.

The political link between public debt and wealth distribution only reveals itself if the debt-financing of governments in the period of the neoliberal turn is understood as the result of low taxation of the property-owning classes of society. The less is taken for the collective from high-earners and their families,⁵⁶ the more unequal is the distri-

55 U. Wagschal, *Staatsverschuldung: Ursachen im internationalen Vergleich*, Opladen: Verlag für Sozialwissenschaften, 1996; U. Wagschal, 'Staatsverschuldung', in Dieter Nohlen et al. (eds), *Kleines Lexikon der Politik*, Munich: C. H. Beck, 2007, pp. 547–52.

56 There is no shortage of grotesque examples. The Greek Constitution contains a tax exemption clause for shipowning families such as the Onassis and Niarchos families. This was introduced in 1967 immediately after the military putsch, and in 1972, the dictator Papadopoulos was gratefully elected president-for-life of the shipowners' association. Today, Greeks account for roughly 15 per cent of the world's merchant navy; see 'Insecurity Touches the Tycoons of Greece', *New York Times*, 24 May 2012, which points out that attempts to end shipowners' tax exemption would simply lead them to transfer their wealth and business abroad. How much the richest families of Greece actually own cannot be precisely established, 'because much of the money exists off-shore, secreted away in Swiss bank accounts or invested in real estate in London and Monaco'. For this reason – and also because of their sizeable holdings in Greek banks – the Greek oligarchs have every motive to remain in the European currency union. Instead of paying taxes, some of the rich families set up US-style philanthropic foundations. Others are said to have 'bolstered their already tight security forces by hiring more bodyguards'. Cf. 'Greece's Super-rich Maintain Lavish Lifestyles and Low Profiles', *Guardian*, 13 June 2012. Even the good-willed must wonder

bution of wealth – which is expressed *inter alia* in a high savings-rate at the upper end of society. For those whom fiscal policy allows to form private surplus capital, this creates the problem of finding opportunities for investment; the Keynesian rentier, who was supposed to have been wiped out by political euthanasia,⁵⁷ thus makes a powerful comeback. Governments' reliance on credit – due not least to successful resistance to taxation – provides a perfect answer in the search for secure investments. Not only is state poverty the investors' wealth; it offers them a golden outlet to invest that wealth profitably.

The only economist I know who has drawn attention to this nexus is Carl Christian von Weizsäcker, even though – or perhaps because – he gives it a positive spin. Unlike nearly all other German economists, he argues for an *increase* in public debt, at least in states with a current account surplus.⁵⁸ His justification for this is the long-term capital surplus in rich countries such as Germany, which he attributes to the greater needs of an ageing population to provide for the future. If this is not to result in an investment emergency, the state must be prepared to borrow from their savings, especially as the purpose of their investments rules out riskier alternatives, and also because investment opportunities in a developing knowledge-based economy with relatively low capital requirements are inadequate. Weizsäcker does not consider two possibilities with egalitarian implications: that higher taxation could relieve the 'investment emergency' of the well-heeled by converting surplus savings into regular government revenue ('confiscation', in the literal sense); and that needs for provision could as well be met collectively on a pay-as-you-go basis, instead of individually out of private assets.⁵⁹

XX why such reports are almost completely lacking in the German press.

57 J. Keynes, *The General Theory of Employment, Interest and Money*, London: Macmillan, 1967 [1936], ch. 24.

58 See, for example, his article 'Das Janusgesicht der Staatsschulden', *Frankfurter Allgemeine Zeitung*, 5 June 2010.

59 Higher taxes to bring down public debt would also put to rest the tawdry rhetoric according to which 'we' should not live at the expense of 'our children' – when the real problem is that the 'better-off' live at everyone else's expense by largely avoiding the

Indeed, Weizsäcker leaves no doubt that political rather than technical motives lie behind his favoured solution, since 'explicit and implicit private wealth is, for reasons to do with provision as well as inheritance . . . a kind of "structural parameter", which cannot be changed without massive encroachments on . . . the bourgeois social structure of our society'.⁶⁰

Weizsäcker's analysis makes it clear that, *so long as the state's capacity to repay its creditors can be relied upon*, the long-term debt-financing of government activity is definitely in the interests of financial asset-holders. For their victory to be complete, the winners in the distribution struggle in the market and with the tax authorities must be able to invest safely and profitably the capital they have wrested from state and society. They need a state that will not only leave them their money as private property but borrow it and keep it safe, pay interest on it and, last but not least, let them pass it on to their children – by virtue of inheritance taxes that have long been inconsequential.⁶¹ In this way, the state as debt state serves to perpetuate extant patterns of social stratification and the social inequality built into them. At the same time, it subjects itself and its activity to the control of creditors in the shape of 'markets'. That control appears alongside the democratic control of the state by its citizenry, with the possibility of overlaying it or even, as we see today, eliminating it altogether in the transition from the debt state to the consolidation state.

social costs involved in the upkeep of their hunting grounds. An appropriate minimum wage for private services would in the same way reduce savings rates among the middle and upper classes and therefore help to overcome their investment problem, with a positive effect (as Keynes showed) on both consumption and growth.

60 C. Weizsäcker, 'Das Janusgesicht der Staatsschulden', *Frankfurter Allgemeine Zeitung*, 5 June 2010.

61 On inheritance taxes, see the works of Jens Beckert (for example, 'Der Streit um die Erbschaftssteuer', *Leviathan*, vol. 32/4, 2004, pp. 543–57).

THE POLITICS OF THE DEBT STATE

The present fiscal crisis and the transition from the tax state to the debt state have inaugurated a new stage in the relationship between capitalism and democracy, one that was not foreseen in traditional theories of democracy. The post-2008 crisis has raised the indebtedness of the rich democracies to a level at which creditors can no longer be sure that governments will be able and willing in the future to meet their payment obligations. As a result lenders seek far more than in the past to protect their claims by exerting influence on government policies. In the debt state, therefore, a second category of stakeholders appears alongside the citizens who, in the democratic tax state and established political theory, constituted the only reference group of the modern state.

The rise of creditors to become the second 'constituency'⁶² of the modern state is strikingly reminiscent of the emergence of activist shareholders in the corporate world under the 'shareholder value' doctrine of the 1980s and 1990s.⁶³ Like the boards of publicly listed companies in relation to the new 'markets for corporate control', the governments of today's debt states in their relationship with the 'financial markets' are forced to serve a further set of interests whose claims have suddenly increased because of their greater capacity to assert themselves in more liquid financial markets. Like capital markets in the transformation of corporate governance, credit markets in the transformation of democracy are eager to deploy their newly won power (especially the option they have to sell shares and pull out) in order to minimize the influence of competing claims on the relevant executive – that of the workforce on management or of citizens on the elected government. Both cases boil down to a distribution conflict: in companies, over whether surpluses should be allocated to shareholders rather than the workforce, or retained to

62 Constituency not only in the electoral sense, but as 'a body of customers, supporters, etc.' (*New Shorter Oxford Dictionary*). One might perhaps, with Hegel, describe the constituency of a state as its 'moral root'; the debt state would then have two such roots.

63 A. Rappaport, *Creating Shareholder Value*, New York: The Free Press, 1986.

strengthen the hand of management; in debt states, over the preservation of what might be called the 'bondholder value' of government securities. Much as an increase in shareholder value requires management to hold down the workforce or – better still – to lock it into common efforts to boost the share price, so does the trust of creditors require that governments persuade or compel their citizens to moderate their claims on the public purse in favour of the 'financial markets'.

In what follows, I would like to outline a stylized model of the contemporary debt state as addressee and mandatary of two differently constituted collectives, and as an intermediary system between two conflicting environments. While these function in accordance with logics that tend to be incompatible with each other, government policy must as far as possible satisfy them at one and the same time: the *Staatsvolk* (the general citizenry) and what I refer to as the *Marktvolk* (the people of the market) (Fig. 2.6).⁶⁴ A *Staatsvolk* is nationally organized and consists of citizens tied to a particular state, from which they can claim certain inalienable rights of citizenship. One of these is the expression of their will at periodic elections. Between elections citizens can influence the decisions of their constitutional representatives by speaking out and contributing to the formation of a 'public opinion'. For this they have a duty of loyalty to the democratic state, including the payment of taxes, whose use is in principle freely decided by the competent bodies of the state. The loyalty of citizens may be seen as being given in return for the state's role in safeguarding their livelihood, and especially in guaranteeing democratically founded social rights.

The democratic state, ruled and (qua *tax state*) resourced by its citizens, becomes a democratic debt state as soon as its subsistence depends not only on the financial contributions of its citizens but, to a

64 The model recalls the account of interest groups as social systems that must survive simultaneously in two environments with different action logics: a social base with its governing 'membership logic' and a political-institutional system with its 'logic of influence'. In each model, an organization has to rely on mobilizing resources from two environments that place contradictory demands on its behaviour (P. Schmitter and W. Streeck, *The Organization of Business Interests: Studying the Associative Action of Business in Advanced Industrial Societies*, MPIfG Discussion Paper No. 99/1, Cologne: Max-Planck-Institut für Gesellschaftsforschung, 1999).

significant degree, on the confidence of creditors. In contrast to the *Staatsvolk* of the tax state, the *Marktvolk* of the debt state is transnationally integrated. They are bound to national states purely by contractual ties, as investors rather than citizens. Their rights vis-à-vis the state are of a private rather than public character, deriving not from a constitution but from the civil law. Instead of diffuse and politically expandable civil rights, they have claims on the state that are in principle enforceable before a court of law and come to an end with the fulfilment of the relevant contract. As creditors, they cannot vote out a government that is not to their liking; they can, however, sell off their existing bonds or refrain from participating in a new auction of public debt. The interest rates that are determined at these sales – which correspond to the investors' assessment of the risk that they will not get back all or some of their money – are the 'public opinion' of the *Marktvolk*, expressed in quantitative terms and therefore much more precise and easy to read than the public opinion of the *Staatsvolk*. Whereas the debt state can expect a duty of loyalty from its citizens, it must in relation to its *Marktvolk* take care to gain and preserve its confidence, by conscientiously servicing the debt it owes them and making it appear credible that it can and will do so in the future as well.

FIGURE 2.6. *The democratic debt state and its two peoples*

<i>Staatsvolk</i>	<i>Marktvolk</i>
national	international
citizens	investors
civil rights: <i>constitution</i>	claims: <i>contract - contractual</i>
voters	creditors
elections (periodic)	auctions (continual)
public opinion	interest rates
loyalty <i>< citizen</i>	'confidence' <i>></i>
public services	debt service

In trying to understand the functioning of the democratic debt state, one is at first surprised that no one seems to know who its all-important *Marktvolk* really are. Nor has much been written, at least in the sociological literature or the weekly and daily press, about how the prices that the states must pay for their credit are established.⁶⁵ What we know is that every government offers bonds for sale several times a year, mainly to refinance existing debt; this means that at virtually every moment a public sale is taking place somewhere in the world. Economic theory seems to take it for granted that there is a perfect market for government bonds, and does not like to see this doubted; that is probably not the least of the reasons why data about the market's demand structure are almost unobtainable – which is all the more surprising since, in most other sectors of the economy, at either national or global level, statistics about market share and concentration ratios tend to be readily available. We know the names of a few large funds that specialize in the government bond market, like Calpers and PIMCO (Public Investment Management Company),⁶⁶ but we do not know whether, as in other markets, there is a small group of large corporations that exercise something like market and price leadership. What we do know is that the finance ministers of many countries tend to request meetings with PIMCO's chairman to get his advice about their budgetary policy.⁶⁷ There is no international anti-trust legislation banning

⁶⁵ For example, the high volatility of risk premiums for government loans, over short-term periods when the fundamental data remain the same, is an astonishing phenomenon in need of explanation. It is equally mysterious why high-debt countries such as Belgium, Japan or the United States can borrow on relatively favourable terms, whereas a country like Spain, whose debt ratio is rather on the low side, must pay high interest rates to obtain a loan.

⁶⁶ PIMCO is probably the world's largest company managing investment funds that specialize in public loans; the size of its Total Return fund alone is US\$263 billion. In 2011 the company's founder and president, William H. Gross, drew an income of \$200 million, while his chief executive officer and designated successor, Mohamed A. El-Erian, had to be content with \$100 million. In the five crisis years from 2007 to 2011, Total Return netted an average annual return of approximately 9.5 per cent ('The Bond Market Discovers a New Leading Man', *New York Times*, 29 July 2012).

⁶⁷ An interview with Mohamed El-Erian in the English online edition of *Der Spiegel* (2 August 2011) contains the following passage:

agreements between market leaders or the public signalling of plans to buy or not to buy; unlike price-fixing among producers of cement or underwear, it would not be a punishable offence if the world's leading investment funds agreed in a teleconference to stay out of the next auction of, say, French government bonds.⁶⁸

Democratic debt states must manoeuvre between their two categories of stakeholders, keeping them both at least sufficiently happy that they do not withdraw their loyalty or, as the case may be, their confidence. For this, states must not allow themselves to be monopolized by either side, since that might trigger a crisis in their relations with the other side. A democratic debt state can satisfy its creditors only if its citizens continue to cooperate with it; should they come to regard the state as an extended arm of its creditors, it will be in danger of losing their allegiance. At the same time, such a state can claim legitimacy in the eyes of its citizens – especially those who, despite internationalization, continue to pay taxes – only if its creditors are

SPIEGEL: Pimco is in regular contact with governments around the world. How would you advise, for example, a Spanish finance minister?

EL-ERIAN: I think it was my colleagues in London who met with him and his delegation, and they did so at the request of the Spanish authorities.

SPIEGEL: How many finance ministers have called you recently?

EL-ERIAN: Some do, as do some central bankers from around the world. The typical question we get asked is this: 'What does it take for Pimco to make long-term investments in our country.' The answer is always the same: an outlook of high and sustainable growth.

SPIEGEL: And your people then tell the Spanish finance minister: 'Sorry, but your bonds are too risky for us.'

EL-ERIAN: We are very cautious about exposures to Greece and Ireland. Spain is under more active discussion, with a lot depending on how they deal with the problem of the cajas [savings banks]. (From *www.spiegel.de*, last accessed 26 November 2012).

⁶⁸ Little is known either about the role of the rating agencies in the public debt market. Unlike the securitization market, no one – or anyway no issuing government – pays for the rating of government bonds; whether the bond purchasers pay is not certain. For a time the ratings of the three large agencies (Standard and Poor's, Fitch and Moody's) were awaited impatiently – sometimes in a state of panic – by European governments and international organizations, and 'the markets' reacted to them as to a command. Recently this seems to have no longer been the case. Whether the rating agencies coordinate their behaviour with creditors on the international loan market, and if so how they do it, must remain for now an open question.

willing to finance and refinance its debt on terms that are tolerable. This willingness, however, will decline or disappear if a government pays too much heed to its citizens' wishes and in doing so ties up resources that might later be required for debt service. Which of the two sides commands greater attention from a debt state's government will depend on their relative strength. This in turn depends on how likely a threatened withdrawal of confidence or loyalty, respectively, appears to be, and on how much pain it would cause to the country and its government.

The conflict between the two stakeholder groups competing with each other for control of the democratic debt state is a new, developing and as yet hardly understood phenomenon. There is much to be said for the view that the emergence of finance capital as a second people – a *Marktvolk* rivalling the *Staatsvolk* – marks a new stage in the relationship between capitalism and democracy, in which capital exercises its political influence not only indirectly (by investing or not investing in national economies) but also directly (by financing or not financing the state itself). In the 1960s and 1970s critical crisis theory studied how postwar states more or less succeeded in securing their democratic legitimacy despite the special position occupied by citizens in command of the means of production and investment. The rapid, class-skewed decline of democratic organization and participation within the liberalization process, as well as the diminishing scope for political action in the crises of the past four decades, might signify that something similar may not be possible after the transition from the tax state to the debt state.

I would now like to bring together a few stylized observations on the politics of the debt state and the constellation of interests operating within it, even if the underdeveloped state of research in this area means that they can be no more than impressions gleaned from news reports.

1) The rising indebtedness of the rich democracies has for some time been curtailing their effective sovereignty, by subjecting the policies of their governments to the discipline of financial markets. As early as April 2000, the head of the Deutsche Bank, Rolf Breuer,

argued in a much-noted article in the weekly *Die Zeit* that politics would 'more than ever [have to be] formulated with an eye to the financial markets': 'If you like, they have taken on an important watchdog role alongside the media, almost as a kind of "fifth estate"'. In Breuer's view, this was not to be regretted as it would 'perhaps not be such a bad thing if politics in the twenty-first century was taken in tow by the financial markets'. For, in the end:

Politicians . . . themselves contributed to the restrictions on action . . . that have been causing them such pain. Governments and parliaments made excessive use of the instrument of public debt. This entails – as with other debtors – a certain accountability to creditors. The higher the public debt, the more are countries exposed to the judgement of the financial markets. If governments and parliaments are forced today to pay greater heed to the needs and preferences of international financial markets, this too is attributable to the mistakes of the past.⁶⁹

Just a few years later it was possible to express the same idea more bluntly. In September 2007, in an interview with the Zurich daily *Tages-Anzeiger* (19 September 2007), the chairman of the US Federal Reserve, Alan Greenspan, gave the following reply to the question of which candidate he supported for the presidency of the United States: 'We are fortunate that, thanks to globalization, policy decisions in the US have been largely replaced by global market forces. National security aside, it hardly makes any difference who will be the next president. The world is governed by market forces.'⁷⁰

The limitation of national sovereignty by 'market forces' amounts to a limitation of the freedom of the *Staatsvolk* to make democratic decisions and a corresponding empowerment of the Marktvolk, which becomes increasingly essential for financing government decisions.

69 Rolf-E. Breuer, 'Die fünfte Gewalt' (available at www.zeit.de, last accessed 26 November 2012).

70 Quoted in, and translated from, U. Thielemann, 'Das Ende der Demokratie', *Wirtschaftsdienst – Zeitschrift für Wirtschaftspolitik*, vol. 91/12, 2011, p. X.

Democracy at national level presupposes nation-state sovereignty, but this is less and less available to debt states because of their dependence on financial markets. The organizational advantage that globally integrated financial markets have over nationally organized societies, and the political power resulting from it, first became dramatically clear in September 1992, when the financier George Soros was able to assemble so much money that he could successfully speculate against the Bank of England and blow apart the European monetary system of the day. His profits from the operation have been estimated at \$1 billion.

2) The main aim of lenders to governments in their conflict with a state's citizens must be to ensure that, in the event of a crisis, their claims take precedence over those of the *Staatsvolk* – in other words, that debt service gets priority over public services. They can best achieve this by means of institutions such as a 'debt ceiling', ideally enshrined in the constitution, which limit the sovereignty of voters and future governments over public finances. The creation of such institutions may be enforced through the threat of higher-risk premiums or rewarded with lower premiums. In principle, what is involved is a key issue in the legal implication of bankruptcy, projected onto government financial policy: that is, which claims have priority over other claims? As far as the creditors are concerned, they need to ensure that any future 'haircut' will affect not them but, for example, pensioners and clients of national health care systems – in other words, that governments exercise sovereignty only over their *Staatsvolk*, not their *Marktvolk*. If we think of the discussions of recent years, we can see that this principle is now already taken for granted: it is a commonplace across the political spectrum that 'the markets' must not be 'unsettled' at any cost,⁷¹ whereas the unsettling

71 A quotation from Ulrich Thielemann, a student of business ethics, may serve to illustrate this point. In September 2011, the German economics minister Philipp Rösler wrote in an article for *Die Welt* that there should be no 'ban on thinking' and that 'the possibility of an orderly state insolvency' should be considered. According to Thielemann, 'Finance Minister Wolfgang Schäuble reacted at once. He was "strictly against any public discussion of insolvency", on the grounds that it might lead to "uncontrollable reactions in the financial markets". "The markets", Schäuble had said a few days earlier, "must be in no doubt about Europe's capacity to act" . . . The opposition took this opportunity to display

of citizens-as-pensioners or citizens-as-patients has to be accepted in the name of the public good.

3) In the struggle for 'market confidence', debt states must make visible efforts to show that they are always ready to fulfil their civil law contractual obligations. In times of crisis, confidence-building of this kind is most successful with resolute austerity measures against the national population, preferably involving the opposition parties and by legally enshrining permanent limits on spending. So long as voters are still able to remove a government serving the capital markets, the *Marktvolk* can never be entirely sure of its position. The mere possibility that a less market-friendly opposition might come to power may cost the state dearly in confidence and therefore in money. The best debt state, then, is one governed by a Grand Coalition, at least in financial and fiscal policy, with tried-and-tested techniques to exclude deviant positions from the common constitutional home. Already before the 2013 election, the Federal Republic of Germany came very close to meeting those conditions.

4) One difficult problem for 'the markets' is that, if spending cuts for the citizenry go too far, they may have a negative impact on economic growth. Growth lowers the debt ratio and makes it easier for governments to service their debts;⁷² a stagnant or shrinking economy increases the likelihood of a default. To combine austerity with growth is like squaring the circle: no one really knows how it could be done.⁷³ This also lies behind the interminable dispute among schools of economics over how to solve the crisis of public finances.

what is commonly referred to as "economic competence". The leader of the Green group in the Bundestag, Jürgen Trittin, described Rösler's remarks as "amateurish" and said they demonstrated that a "novice was in charge in the economics ministry". The stock markets will react' (Thielemann, 'Das Ende der Demokratie', p. 820).

72 Presumably this is so only beneath a certain level of debt. An influential expert view is that 80 per cent of GDP is the threshold beyond which the public debt hinders future growth (C. Reinhart and K. Rogoff, *Growth in a Time of Debt*, NBER Working Paper No. 15639, Cambridge, MA: National Bureau of Economic Research, 2009). If this is true – like all econometric 'laws', it should be treated with utmost caution – many developed economies are already incapable of growth.

73 See a few thoughts on the subject in chapter 4 below.

While some concentrate on the supply side – that is, on tax cuts and a cutback on government activity to revive the private sector – others call for a boost to public and private demand as a precondition for new investment in the real economy.

5) Further complications result from the fact that an ever larger part of the *Marktvolk* also belongs to the *Staatsvolk*, so that their interests include not only the reliable servicing of public debt but also, and perhaps even more, the maintenance of intact public services. This group has grown considerably in recent years, with the privatization of areas of social security provision (supplementary pensions, for example) and the increase in middle-class savings. For them the question poses itself of which would harm them more: a government default vis-à-vis 'the markets' (which would reduce their invested savings) or cuts in social spending in order to forestall such a default? Politically, they could probably be won either to austerity (which would protect their capital) or to resistance to austerity (to protect the social welfare state). Sociologically, they may be seen as a new kind of intermediate group, under pressure from contradictory interests. *M&P middle class w/ investments & pension + 51/med.*

6) Little is known about the power relations between national peoples and the *Marktvolk*, and how they impact on the ongoing negotiations over the 'terms of trade' between the two. The power of investors feeds mainly on their advanced international integration and the presence of efficient global capital markets, both of which make it possible for them to switch quickly from one investment to another if 'confidence' is lost. Under certain circumstances, the rating agencies may also help them coordinate their activity as a single, unified *Marktvolk* ('the markets'), so that they can jointly exert pressure on countries whose citizens or governments are reluctant to comply with their wishes. On the other hand, owners of monetary assets appear to depend on safeguarding their portfolios by investing at least part of their capital in government bonds. Governments, for their part, can introduce regulatory measures that force 'the markets' to invest in public debt – for example, by raising the risk-cover requirement for banks and insurance

companies.⁷⁴ They may also at their discretion one-sidedly 'restructure' government debt, since as 'sovereign' debtors they are not subject to any legal bankruptcy procedure.⁷⁵ Governments can also apply a 'haircut' to their creditors or, in extreme cases, cease all servicing of their debt. That is a constant nightmare for lenders.⁷⁶ Since a suspension of payments is damaging to a country's future credit-worthiness, governments resort to it only if they can see no other way out. In principle, however, unilateral debt reduction can be a powerful weapon for governments defending their citizens' claims on public services. So long as they can threaten with some credibility to use it, creditors of a debt state may feel compelled to exercise restraint in enforcing their interests.⁷⁷

7) 'The markets' may engage the services of the 'international community' and its organizations to back up their claims on a debt state. In doing this, they can take advantage of their organizational

74 In combination with low interest rates, capital controls and high inflation, this may add up to a public debt reduction strategy. The technical name for it is 'financial repression' (C. Reinhart and M. Sbrancia, *The Liquidation of Government Debt*, NBER Working Paper No. 16893, Cambridge, MA: National Bureau of Economic Research, 2011).

75 Systems to regulate state bankruptcies have often been proposed. For creditors, they would limit the freedom of debtor states in the event of a payment default, although they could never be sure that governments would agree to play by the rules. Moreover, a regulatory order might have the effect that state insolvency became a more normal and therefore more frequent phenomenon.

76 They try hard to find ways of guarding against this eventuality. In January 2012, the *New York Times* reported on a hedge fund which was looking for ways to institute proceedings against Greece – on the grounds of having forced its creditors to carry part of the burden in the country's 2011 debt restructuring (that had since proved insufficient) – for violation of property rights, in a case to be heard by the European Court of Human Rights. One investor was quoted as saying: 'What Europe is forgetting is that there needs to be respect for contract rights.' See 'Hedge Funds May Sue Greece if It Tries to Force Loss', *New York Times*, 19 January 2012.

77 Restraint, for example, in increasing risk premiums on government bonds. It seems generally agreed that, beyond an interest rate of approximately 7 per cent, governments are no longer able to service their debt. Of course, a country's debts are always financed or refinanced in tranches, so that it takes a while before an increase in interest rate applies to such a large part of its total debt that the possibility of a default becomes acute. It cannot be in the creditors' interest to see that situation arise, since it would kill the goose that lays their golden egg – unless, of course, they can count on another stepping into the breach. Obviously this would create a 'moral hazard' if ever there was one.

lead over a state system which, while embedded in global markets, continues to be nationally based. In today's interwoven financial markets, it is impossible to predict with any certainty the numerous external effects that the collapse of one debt state would have on the others. For example, foreign financial institutions may suffer such damage that they have to be rescued by their 'own' governments at a high fiscal cost;⁷⁸ or the privatized sector of the pension system may collapse; or 'the markets' may lose confidence in government bonds as such, with a knock-on effect for the interest rates paid by other countries on refinancing their debt. A state in danger therefore comes under pressure from other states and international organizations to meet its obligations in relation to its creditors, even at the price of not fulfilling its obligations to its citizens. At the same time, other states may come under pressure to stand by the affected country in the name of 'international solidarity', preventing a default by means of loans and transfers. Theoretically, of course, states may also unite against markets – for example, by jointly refusing to accept demands for austerity. But this raises classical problems of collective action, bound up with the different interests and structural positions of the countries in question. A country like Britain, which depends as none other on the health of its financial sector, can hardly enter into an international agreement demanding a 'haircut' from 'financial markets', unless it receives compensation payments from other states.

DEBT POLITICS AS INTERNATIONAL FINANCIAL DIPLOMACY

The politics of the modern debt state, particularly in Europe, has become both more complex and less democratic because it takes place largely as international politics, in the shape of intergovernmental financial diplomacy. Here the distribution conflict between national

peoples and the international *Marktvolk*, itself a derivative of the conflict between wage-earners and profit-makers, is projected onto a new level where it appears distorted beyond recognition – a further ideal stage for the performances of post-democracy. There the public of European nation-states has for years now been breathlessly following a drama whose amazing turns have all the weirdness of Alice's adventures in wonderland.

Of course the stakes in the politics of debt are incomparably more serious. The charging of international 'governance' with the fiscal supervision and regulation of national governments threatens to end the conflict between capitalism and democracy for a long time to come, if not forever: that is, to settle it in favour of capitalism, by expropriating the means of political production from the citizenry of nation-states. If the plans adopted in 2012 to restructure the European state system with the help of a 'fiscal pact' come to fruition, member-states and their politics, under the pressure of financial markets and international organizations, will have tied themselves to market principles in international and constitutional law and will largely have forfeited the possibility of modifying them in the name of social justice.⁷⁹ At that point, the liberalization of modern capitalism will have achieved its objective by durably immunizing its markets from discretionary political interference.

The internationalization of fiscal crisis and debt policy conceals the political and economic actors of democratic capitalism behind the construct of a world of nations with internally homogeneous but externally different and opposing interests. Countries appear, like football teams, as participants in a tournament for the top places in a league table, with respect to economic performance, competitiveness, scale of corruption or political clientelism, and the like.⁸⁰ At the same

⁷⁸ To be sure, one does not know exactly how the financial institutions of various countries are intertwined with one another. So-called stress tests, precisely if administered by international organizations, may tell us nothing about this: first, because they can only use data collected and passed on by national supervisory bodies; and second, because they have to be organized in such a way that, even in the worst of cases, their results do not cause panic.

⁷⁹ For more on this, see the discussion in Chapter 3 on the European Union as an international 'consolidation state'.

⁸⁰ In the social sciences, this perspective is cultivated by comparative policy research that nearly always has agonistic undertones. Typically the question is which country or group of countries is 'better' at economic growth, environmental policy, health care, popular contentment, political participation, and so on.

time, they are portrayed as bearers of collective rights and duties towards one another – for example, with regard to claims for solidarity and support in an emergency. The upshot is an astonishingly popular reformulation of the politics of public debt in nationalist terms with high demagogic potential, as well as a rapid renationalization and nationalist moralization of international political discourse, while respect for claims to national sovereignty is made dependent on a country's good behaviour vis-à-vis the global financial markets and international organizations and its observance of the rules of conduct that they prescribe.

In the rhetoric of international debt politics, nations appear as homogeneous moral individuals with joint liability; no attention is paid to internal relations of class and domination. This clears the way for discursive distinctions between 'nations that keep their house in order' and others that, having neglected to do their homework, cannot complain if other countries take over as their government. 'Lazy' countries must earn the solidarity of upright nations by reforming themselves in their image, or at least trying as hard as they can to do so. Conversely, countries in dire straits expect their more fortunate, and therefore wealthier, neighbours to offer them solidarity out of a sense of moral obligation; if this is not forthcoming, or not on the hoped-for scale, they are considered collectively arrogant and callous. The new, or old, nationalist clichés may be found in Germany in Thilo Sarrazin's book *Europa braucht den Euro nicht* (2012), and in countries such as Italy and Greece in newspaper depictions of the German Chancellor as a spiritual heir of Adolf Hitler.⁸¹

81 See 'Antideutsche Stimmung kocht in Italien hoch', *Frankfurter Allgemeine Zeitung*, 7 August 2012: 'The tone in the Italian euro-debate is becoming more and more aggressive towards Germany. The nadir, at least for now, was last Friday's headline "The Fourth Reich" on the front page of *Il Giornale*, which is jointly owned by Silvio Berlusconi's brother Paolo and the exchange-listed Mondadori publishing corporation controlled by Silvio. After two world wars with millions of dead, writes the paper's chief editor Alessandro Sallusti, the Germans have supposedly not had enough: "Now they are returning, not with guns but with the euro. The Germans see it as their affair: we must swallow everything and bow to the new emperor called Angela Merkel, who now wants to give orders in our country too." The problem for Sallusti, writing on page one of Berlusconi's daily, is that Italy does not react, in the same way as the allied powers did not react towards Hitler in 1938 . . . Recently,

In a political-economic perspective, however, international debt politics appears as intergovernmental collaboration to protect financial investors from losses, with the aim of keeping down risk premiums on government borrowing and averting the danger that one's 'own' national banks will have to be compensated for losses or bailed out through recapitalization. In the process, governments also protect their better-off citizens who have invested in national debt and similar financial instruments. 'Markets' and governments are equally eager to keep debt states at risk of default from making use of their sovereignty and suspending payments. The first priority for the international community of debt states is that all members, including the weakest, maintain the fullest possible servicing of their existing debt.

Part of the conflict between national peoples and the *Marktvolk* is that the citizens of countries still in good repute with the financial markets are urged by their own and other governments, as well as by international organizations and financial investors, to exercise 'solidarity' with countries that threaten to become insolvent.⁸² Since the real point is not to rescue countries but to save creditors' portfolios, thereby stabilizing the global market for national debt, it does not matter whether the per capita income of a donor country is lower than that of the recipient country.⁸³ For the same reason, it is no

in an interview with *Der Spiegel*, Italy's new premier Mario Monti had warned of anti-German resentment in Italy and downplayed the significance of national parliaments. This came in for much criticism in Germany. Against this background, Monday's internet edition of the right-populist *Libero* ratcheted up the Italian attacks still further: "The Nazi Germans want to give us lessons in democracy."

82 As repeatedly done by the grand speculator George Soros with major public effect. According to the *Frankfurter Allgemeine Zeitung* (26 January 2012), Soros warned at the Davos world economic forum 'that the euro is undermining the political cohesion of the EU . . . Germany carries the main responsibility in this . . . To contain the danger, Soros recommended that the Europeans should exercise strict financial discipline and implement structural reforms . . . One means to this end are Eurobonds.' Soros happily has his appeals distributed by economists and social scientists he funds, in the form of academic policy advice on European unification. See 'Breaking the Deadlock: A Path Out of the Crisis', issued on 23 July 2012 by the Institute for New Economic Thinking founded by Soros in 2009 (available at ineteconomics.org, last accessed 26 November 2012).

83 Thus Slovakia was expected as a matter of course to participate in aid to Ireland, even though its per capita income was much lower than Ireland's (which before

contradiction if the financial support never arrives in the country that is allegedly supported but goes directly to its foreign creditors.⁸⁴

Countries 'rescued' by other countries are nevertheless required to impose deep cuts in their citizens' living standards, for the sake of long-term confidence-building in the financial markets, but also to pacify the citizens of donor states, who must themselves accept cuts in their public budgets and social services to finance the solidarity of the community of states with 'the markets'.⁸⁵ In this way, on both the

the crisis was even higher than Germany's). As to the calls for German 'solidarity' with Greece, the moral justification is supposed to be the higher per capita income in Germany. Public rhetoric, however, makes no reference to the fact that quite a few Greeks are far richer than nearly all Germans, and that the living standards of more and more Germans are below those of the Greek middle class. The contribution expected by them to the rescue of the Greek state, mainly in the form of reduced social budgets of every kind, allows the banks owned by the Greek upper classes to avoid losses and subsidizes the

• non-taxation of the large Greek fortunes. In 2005 Greece collected the equivalent of 4 per cent of GDP in income tax, compared with 10 per cent in the fifteen West European EU countries. All taxes together amounted to 29.7 per cent of the national product, whereas the figure was a third higher, at 39.7 per cent, in the EU fifteen (H. Grözing, 'Griechenland: Von den Amerikas lernen, heißt siegen lernen', *Blätter für deutsche und internationale Politik*, vol. 9, 2012, pp. 35–9). In 2001, the year in which Greece joined the currency union and cheap loans began to feed high levels of government debt, Greece lowered the top rate of taxation on corporate profits from 40 to 20 per cent (M. Markantonatu, *The Uneasy Course of Democratic Capitalism in Greece: Regulation Modes and Crises from the Post-war Period to the Memoranda*, discussion paper, Cologne: Max-Planck-Institut für Gesellschaftsforschung, 2012).

84 'Its membership in the euro currency union hanging in the balance, Greece continues to receive billions of euros in emergency assistance from the so-called troika of lenders overseeing its bailout. But almost none of the money is going to the Greek government to pay for vital public services. Instead, it is flowing directly back into the troika's pockets. The European bailout of 130 billion euros that was supposed to buy time for Greece is mainly servicing only the interest on the country's debt – while the Greek economy continues to struggle... On the face of it, the situation seems absurd. The European authorities are effectively lending Greece money so Greece can repay the money it borrowed from them' ('Most Aid to Athens Circles Back to Europe', *New York Times*, 30 May 2012).

85 In the holistic-nationalist worldview of international financial diplomacy among debt states, Greek workers whose pensions are cut in the wake of a foreign bailout are supposed to be paying for 'their' banks. There is no place in the long-hegemonic *Sprachspiel* of a neoliberal national holism for the idea that the first to bail out the Greek banks should be their own shareholders and those who pocketed the profits, value increases, incomes and bonuses of recent years. No doubt this also reflects the lack of power vis-à-vis the financial markets that (only seemingly) sovereign states have experienced since the neoliberal turn.

'donor' and the 'recipient' side, a common tribute to the financial markets is made to appear as mutual blackmail among countries or peoples that are unequally 'rich' or deserving they be so.

International solidarity, which in practice amounts to a punitive austerity policy ordered from abroad and above, holds the citizens of an insolvent debt state jointly liable for their past governments. The justification is supposed to be that they democratically elected them. Democracy thus serves to construct an identity between citizens and government, between the electorate as principal and the government as agent, which is sufficiently deep to require that citizens repay out of their own pockets the loans contracted in their name – regardless of whom they voted for and whether any of the borrowed money ever found its way to them. Moreover, as state citizens they are denied what would be readily available to them as economic citizens: something like a bankruptcy seizure exemption threshold, as might be safeguarded by the European Convention on Human Rights.

Whereas neonationalist public discourse blames excessive national debt levels on the easy life that one country's citizens made for themselves at the expense of another country's citizens – which then justifies affording them solidarity-as-punishment – debt states actually incurred their debts to make up for taxes that they had failed to raise from their citizens (especially the richest) or that they had been unable or unwilling to impose for fear of breaking the social peace or of losing investment. This turns international support for a debt state into solidarity not only with its creditors but also with its low-taxed (and under neoliberalism ever lower-taxed) upper classes; solidarity ultimately subsidizes a skewed distribution of income, also because it spares the citizens of a bailed-out state from politically → organizing to correct that distribution and taking on themselves the associated conflicts and risks. The fact that the well-to-do today can avoid taxation more easily than ever, forcing their home countries to pile up debt, is also a result of the liberalization of capital markets over the last few decades. Countries such as the USA, France, Britain and Germany profited greatly from the flight of capital out of countries with a weak taxation regime and an uneven distribution of

income; and their richest citizens have profited most of all, in the form of rising prices in the luxury property market. The bill for this is now being presented to the citizens of countries whose governments happily granted free movement to capital (to the acclaim of the 'financial markets') or were pressured into doing so by the 'international community'.

In the topsy-turvy world of financial and fiscal diplomacy embedded in international financial markets, the surrender of national sovereignty to supranational institutions, like international assistance and cross-border regulation, becomes a tool not only for the protection of financial investment and the collection of debt but also for the insulation of 'the markets' from political interference in the name of corrective social justice. As a result capitalism is emptied of democracy. National sovereignty – a central prerequisite of national democracy – is de-legitimized in that it is made to seem a means of running up debt at the expense of other countries, with the result that, cheered on by the national peoples enlisted to provide Europeanized debt relief, it can then be eliminated in favour of supranational disciplining agencies deaf to democracy – not only in debt states with excessive levels of debt but also more generally, with reference to values such as international solidarity or the peaceful overcoming of nationalism through supranational integration.

CHAPTER THREE

The Politics of the Consolidation State: Neoliberalism in Europe

In the wake of the financial and fiscal crisis, the debt state that supplanted the tax state has to convert itself into a state dedicated to fiscal consolidation, completing the neoliberal farewell to the European state system and to the political economy of its Keynesian founding period. This *consolidation state* is being constituted, not accidentally, as an international regime operating at multiple levels of government. The possibility that internationalization and denationalization may be linked with liberalization has been present in the public mind at least since the discussions on the political consequences of 'globalization'. But no one spelled out this connection earlier or more clearly than Friedrich von Hayek, in his article 'The Economic Conditions of Interstate Federalism', which first appeared in the *New Commonwealth Quarterly* in September 1939, just as the Second World War was beginning.¹

INTEGRATION AND LIBERALIZATION

In keeping with the times, Hayek's article begins with the question of the conditions under which a stable international peace would be possible. In his view, the key must be an interstate federation strong enough to settle disputes among its members and to guarantee their collective external security. An indispensable requirement for this would be a common defence and foreign policy operated by a central government. It cannot stop at that, however: 'there is no historical example of countries successfully combining in a common foreign

¹ F. Hayek, 'The Economic Conditions of Interstate Federalism', in *Individualism and Economic Order*, Chicago: Chicago University Press, 1980 [1939], pp. 255–72.